Incident Report INC-2026-0814: UPI Payments Outage

Thendral Pay (fictional) · Severity 1 · Incident date 14 August 2026 · Status: closed

> Fictional document created for a live RAG demo. Names, numbers and events are invented.

1. Summary

From 19:12 to 19:59 IST on 14 August 2026, 47 minutes in total, customers of Thendral Pay could not complete UPI payments. About 18,400 payment attempts failed and 2,150 merchants reported failed checkouts during the evening peak. No money was lost: failed payments were not debited or were reversed automatically within 2 hours.

2. Root cause

A configuration change deployed at 18:55 raised the timeout for calls from the payments service to the bank switch from 2 seconds to 30 seconds. When the bank switch slowed down at 19:10, requests waited 30 seconds instead of failing fast, so every worker thread held a database connection while it waited. The connection pool (200 connections) was exhausted within two minutes and all new payments failed, including those that did not need the slow bank.

The change was meant for a batch reconciliation job but was applied to the shared configuration used by the live payments service. The change was not reviewed because configuration changes were exempt from the two-person review rule.

3. Timeline (IST)

Time	Event
18:55	Configuration change with the 30-second timeout deployed
19:10	Bank switch latency rises to 8–12 seconds
19:12	Connection pool exhausted; payment success rate drops from 99.6% to 4%
19:16	On-call engineer paged; incident declared Severity 1 at 19:19

19:41	Cause identified from connection-pool metrics
19:52	Configuration rolled back to the 2-second timeout
19:59	Success rate back above 99%; incident mitigated

4. What went well

- Automatic reversal protected customers from double debits.
- The status page was updated within 9 minutes of the incident being declared.

5. What went wrong

- Configuration changes skipped review and canary rollout.
- There was no alert on connection-pool saturation, so diagnosis took 22 minutes.
- Batch and live services shared one configuration file.

6. Action items

Action	Owner	Due
Require two-person review and canary rollout for configuration changes	Platform team	30 August 2026
Alert when the connection pool is more than 80% used for 1 minute	SRE	21 August 2026
Split batch and live configuration into separate files	Payments team	15 September 2026
Add a circuit breaker on bank switch calls (open after 20 consecutive timeouts)	Payments team	30 September 2026